THE EQUITY EXPRESSION OF THE GOLD THESIS

The gold-miner paradox

Gold had a spectacular run. The companies that pull it from the ground have had a far rougher summer. That gap is either a warning about the metal—or an unusually clean test of whether mining shares can finally earn investors' trust.

A journalist-style explainer based on the supplied research dossier, refreshed with current public market and industry context.

Not a bet on shiny rocks.

Mining equities are businesses with wages, diesel bills, political risk and capital-spending choices. They can magnify gold's gains—and its losses.

Think of a gold bar as the price of a loaf of bread. A miner is the bakery: much of its rent, staff and ovens are already paid for. When the loaf's price rises, a large share of each extra dollar can become profit. When it falls, the same fixed costs do not disappear. That is operating leverage—and it is why gold shares are usually the more dramatic, less forgiving way to express a view on bullion.

THE STORY IN 60 SECONDS

$5,405

Gold's late-January 2026 record, according to the World Gold Council. The metal then entered a sharp correction.

–17.2%

GDX year-to-date through 17 July 2026, according to ETF Central—evidence that miners have fallen more heavily than bullion.

244t

Estimated central-bank net purchases in Q1 2026, according to the World Gold Council: powerful structural demand, but not a straight line for share prices.

Why the shares can move faster than gold

Gold's market price is only half the equation. A mine's basic scorecard is its **all-in sustaining cost** (AISC): the average cost per ounce to keep producing, including the upkeep needed to sustain the operation. The difference between the selling price and AISC is a useful shorthand for the operating margin before corporate overhead, taxes and growth spending.

Gold price rises
The market pays more per ounce.

→

Most costs lag
Diesel, labour and equipment do not reset instantly.

→

Cash flow can jump
Extra revenue falls through the income statement at a faster rate.

That mechanism works in reverse. In 2020–23, the dossier notes, industry costs climbed much faster than gold; margins compressed and the HUI gold-share index fell even though bullion held broadly firm. So the right question is never simply, "Where will gold go?" It is: "Where will the *gap* between gold and costs go?"

THE ESSENTIAL DISTINCTION

Bullion is a monetary asset. A miner is a leveraged operating company whose product happens to be gold.

A concrete margin example

Alamos Gold's 2025 figures in the supplied dossier make the maths tangible: an average realized gold price of $3,372/oz less AISC of $1,524/oz produced an implied AISC margin of $1,848/oz. This is an illustration of the business model, not a forecast or a valuation.

$3,372
realized price per ounce

−$1,524
all-in sustaining cost

$1,848
implied AISC margin

Source: supplied 13D research dossier, citing Alamos 2025 results. AISC margin is not the same as net income or free cash flow.

Now imagine gold rises $400 while costs rise only $100. The margin improves by $300—far more than the cost increase—so cash generation may respond disproportionately. But if energy, labour or a weak local currency push costs up while gold retreats, the lever swings the other way.

The 2026 plot twist: price strength, then a trust gap

The current cycle has two contrasting acts. Gold more than doubled over the three years to early 2026 and reached a $5,405/oz record in January. Yet the subsequent sell-off was severe: an Associated Press report put the June 24 settlement at $4,008.80/oz, while the World Gold Council put first-half performance at roughly −7%. GDX's deeper drawdown shows investors were not willing to treat miner profits as a risk-free extension of bullion.

* Through 30 June; † through 17 July. Different cut-off dates; shown to convey the scale, not a precise same-day comparison.

This is the gap at the heart of the bull case. Supporters argue that strong realized prices, cleaner balance sheets, dividends, buybacks and scarce deposits have not been fully recognized in share prices. Skeptics counter that today's exceptional margins may be cyclical, that new mines are expensive, and that miners have a long record of turning windfalls into ill-timed acquisitions.

Why the long-term gold case can remain intact

A correction does not automatically invalidate a multi-year thesis. Gold is unusually sensitive to who is buying and why: it trades both as a globally priced commodity and as a form of financial insurance. The recent pullback looks more like a violent reset in positioning than proof that all of the longer-term supports have vanished.

1. A broader buyer base

Q1 bar-and-coin demand reached 474 tonnes, up 42% year on year and the second-highest quarter on record. China's mainland bar-and-coin buying rose 67%. That matters because demand is not relying on a single Western ETF trade.

2. Official demand is structural

Central banks bought an estimated 244 tonnes net in Q1. They are diversifying reserve assets over years, not day-trading weekly headlines—although their purchases can still slow or reverse.

3. Supply responds slowly

Mine output rose 2% year on year to a Q1 record 885 tonnes, yet the price response is modest compared with the prior rally. New discoveries, permits and processing plants cannot be created on a quarterly timetable.

The macro case is equally important. Gold tends to benefit when investors want insurance against geopolitical shocks, sticky inflation, currency debasement fears or a lower future path for real interest rates. The World Gold Council's July base case is more measured than the headlines: with moderate growth and only limited further monetary tightening, it sees gold broadly range-bound within roughly ±5% around $4,100/oz. Its upside path requires a renewed catalyst—worsening economic or geopolitical conditions, lower-rate expectations, or returning long-term investors. In other words, the long-term case is constructive, but it is not a promise that the next three months must be higher.

A USEFUL MENTAL MODEL

> Gold has a floor made of diversified demand and scarce supply—but the ceiling, and the path between them, are set by confidence, rates and positioning.

Why miner operations are improving on a net basis

The recovery story is not merely that gold is expensive. It is that a number of established producers have entered this price environment with better balance sheets, more conservative project pipelines and a greater willingness to give cash back to shareholders. “Net basis” is the key phrase: a high metal price only creates durable equity value after costs, sustaining capital, debt and the replacement of depleted reserves are paid for.

WHAT HAS IMPROVED	WHAT IT LOOKS LIKE IN PRACTICE	WHY IT IS BETTER THAN THE LAST BOOM
Margin capture	The dossier’s 2025 Alamos example shows a $1,848/oz implied AISC margin; Agnico Eagle reported record quarterly operating margins in Q1 2026.	Higher realized prices are being translated into cash rather than simply into revenue headlines.
Balance-sheet resilience	The supplied dossier cites Agnico’s 2025 free cash flow of $3.6bn, a net-cash position and roughly $600m of share repurchases.	Less debt means fewer claims on the upside—and more capacity to absorb a volatile gold price.
Capital allocation	Dividends, buybacks, modestly funded projects and selective acquisitions have become more central to the sector narrative.	The prior cycle’s big mistake was expanding at the top of the price cycle; shareholder returns demand more discipline.
Asset quality and scale	Consolidation can combine nearby deposits, mills and infrastructure, while operators chase long-life replacement ounces.	A well-priced deal can lower unit costs and extend mine life; a badly priced one is still a red flag.

There is a useful cross-check here. The World Gold Council recorded only a 2% rise in Q1 mine supply despite exceptional prices, while recycling rose 5%. That is consistent with a sector whose capacity cannot be turned on quickly. For the best operators, scarcity can support economics; for the industry as a whole, it also makes reserve replacement and permitting quality more valuable.

The forces underneath the price

Reasons the long case is credible

- **Central banks remain important buyers.** The World Gold Council estimates 244 tonnes of net purchases in Q1, and reported renewed net buying in April and May.
- **New supply remains stubborn.** The Council says total 2025 gold supply rose only 1% to 5,002 tonnes despite record prices—new mines take years, permits and capital.
- **Capital discipline looks better.** The dossier highlights cash returns, lower debt and selective consolidation rather than the build-at-any-price behaviour of the previous boom.
- **M&A is accelerating.** NovaGold's move to acquire the remaining Donlin stake is one recent example of operators and financiers pursuing long-life deposits rather than starting from scratch.

Reasons the "cheap miners" thesis can fail

- **Gold itself can keep falling.** A decline in the selling price has an amplified effect on profits.
- **Cost inflation is never truly fixed.** Fuel, power, labour, steel, chemical inputs and ore grades can erase the margin upside.
- **Country risk is real.** Tax changes, permitting delays, power shortages and community disputes can permanently damage a mine's value.
- **Deals can destroy value.** A high gold price often tempts management teams to overpay for marginal deposits.

What to watch now—not just the ticker

For a lay reader, the sector becomes much less mysterious when you follow a short dashboard. These are the numbers that separate a lasting re-rating from a speculative bounce.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Realized gold price vs. AISC	What the miner receives minus what it costs to sustain each ounce.	The clearest near-term gauge of margin direction.
Free cash flow	Cash left after operating needs and investment spending.	Harder to flatter than headline earnings; funds dividends, buybacks and debt reduction.
Reserve replacement	Whether discoveries and acquisitions replace what is mined.	A mine is a depleting asset. Today's cash cow needs tomorrow's ore.

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Production guidance	Management's annual promise for ounces and costs.	Misses often matter more to a share price than a small move in gold.
Deal price / asset quality	What a buyer pays for a future ounce in the ground.	Shows whether consolidation is disciplined or a late-cycle land grab.

Technical lens: the correction may be maturing—but it is not confirmed

Laurence Balanco's 16 July chart work, supplied with this report, makes the near-term case more specific. It argues that gold has begun to display the first convincing signs of a bottom since January: selling momentum is slowing, and price is testing a historically meaningful distance below its 200-day moving average. That is a **set-up**, not yet a completed reversal.

$3,886–3,900

Support zone. The area Balanco identifies as the important floor. A decisive failure would weaken the bottoming thesis.

–11.5%

Below the 200-day average. As of 16 July, Balanco noted gold was within the historical 10–12% discount zone where major corrective lows have often occurred.

$4,195–4,243

Confirmation zone. A decisive move above the 50-day average and the 3 July high would, in this analysis, confirm a double-bottom pattern.

What would strengthen the case

- Gold holds above the $3,886–3,900 support area.
- The price reclaims its 50-day moving average.
- It breaks above $4,195–4,243 with follow-through, rather than a one-day spike.
- Miner shares begin to outperform bullion—a useful sign that equity investors believe margins will endure.

What would call for more patience

- Support breaks decisively, especially on rising volatility.
- Gold rallies briefly but fails repeatedly below the 50-day average.
- Energy and labour costs jump while gold weakens, reversing the margin story.
- Producer guidance deteriorates or M&A activity becomes expensive and dilutive.

Balanco's upside waypoints after a confirmed break are $4,534, then $5,120–5,418. Those are chart-based projections, not fundamental price targets. Their practical value is as a decision map: support defines the risk point; confirmation defines the evidence needed before treating a bounce as a new advance.

WHAT "ACCUMULATING" SHOULD MEAN IN A CORRECTION

Build exposure in measured steps only if the investment case and risk limits are already clear. A technical support zone can improve the odds; it cannot remove the possibility of another leg down.

Positioning through a correction: build the bridge before crossing it

Corrections are where the difference between a thesis and a trade becomes visible. No indicator can certify the exact bottom. The current backdrop—gold's sharp fall from January's record, recent Western ETF outflows and a heavier drawdown in miners—argues for a process rather than an all-at-once decision.

APPROACH	WHAT IT MEANS	WHAT IT PROTECTS AGAINST
Separate the exposures	Decide whether the objective is monetary insurance (bullion), diversified miner exposure (a broad fund), or higher-risk company upside (selected producers/explorers).	Accidentally owning a volatile mining portfolio when the real goal was a hedge.
Stage, do not chase	For investors who have already decided the theme fits their risk tolerance, spreading intended purchases across time or predetermined price conditions reduces dependence on one entry point.	Putting all capital to work just before another leg down.

APPROACH	WHAT IT MEANS	WHAT IT PROTECTS AGAINST
Keep a liquidity reserve	Hold back capital and avoid borrowed money for a volatile theme; miners can fall much farther and faster than bullion.	Being forced to sell a sound position to meet unrelated cash needs.
Favor proof over narrative	In company selection, watch quarterly guidance, AISC, free cash flow, debt, reserve replacement and deal terms—not just a chart or a gold-price forecast.	Confusing a high gold price with a high-quality mining business.
Write down invalidation points	Examples: a sustained gold-price decline paired with rising costs; repeated production misses; a dilutive acquisition; or a material jurisdictional change.	Letting a temporary drawdown quietly become an open-ended commitment.

One practical portfolio architecture is a **core–satellite** lens: a smaller, more stable core for the macro gold view; a diversified producer sleeve for operating leverage; and only a deliberately limited speculative sleeve for juniors or explorers. The mix is personal and depends on time horizon, cash needs and the ability to tolerate large drawdowns. The important point is that each layer has a different job.

CORRECTION CHECKLIST

Ask: “If the price falls another 10–15%, will I still understand why I own this—and will I still have the liquidity to hold it?” If the answer is no, the position is probably too large or too concentrated.

How to think about the menu

Physical gold / bullion funds

The cleanest expression of a monetary or currency-hedge view. It avoids mine-specific blowups, but produces no operating cash flow.

Large miners / GDX

Diversified exposure to established producers. Still volatile, but company-specific risk is spread across a portfolio.

Juniors / GDXJ / explorers

The venture-capital end of the spectrum: potential discoveries and takeovers, but financing, dilution and geology can dominate the gold price.

The supplied research sees relative strength in exploration shares during the correction as a potentially constructive signal. That interpretation is a market view, not a guarantee: in this end of the sector, a promising drill result can matter more than a 10% move in bullion.

REPRESENTATIVE HOLDINGS, NOT RECOMMENDATIONS

The stock-card guide: what sits inside GDX and GDXJ

ETFs are useful shorthand, but they are not uniform baskets. GDX leans toward global large-cap producers, while GDXJ holds many established mid-tiers as well as smaller, earlier-stage names. The cards below cover representative major positions, not every holding and not a buy list. Fund weights change daily; the stated weights are VanEck snapshots from 22 June (GDX) and 23 June (GDXJ).

GDX: large, diversified producers

AEM

GDX weight 10.61%

Agnico Eagle Mines

The operating case: A Canada-led senior producer with a deep pipeline of long-life assets. It reported record operating margins and $732m of Q1 2026 free cash flow despite a large cash-tax payment.

WATCH NEXT

> Delivery and costs at its underground growth projects; high-quality assets still require sustained capital.

NEM

GDX weight 10.49%

Newmont

The operating case: The sector's scale leader: a broad collection of mines can dilute the impact of any one setback and offers meaningful leverage to gold in absolute cash terms.

WATCH NEXT

> Portfolio execution, asset sales and cost discipline. Scale is valuable only if the asset base earns more than its capital cost.

B

GDX weight 8.03%

Barrick Mining

The operating case: A global large-deposit platform with exposure to gold and copper. Its appeal is long mine life and the potential to spread fixed corporate costs over large production volumes.

WATCH NEXT

> Country agreements, permitting and project delivery. The same asset scale that creates upside can increase political and execution stakes.

AU

GDX weight 4.97%

AngloGold Ashanti

The operating case: A globally diversified producer, offering gold-price leverage through a portfolio that spans several mining regions rather than one flagship mine.

WATCH NEXT

> Jurisdiction mix, local currencies and cost control. Geographic diversification reduces single-mine risk but does not eliminate country risk.

GDXJ: mid-tier growth and higher operating sensitivity

EVN
Evolution Mining

GDXJ weight
6.52%

The operating case: A sizeable Australia-focused producer. It demonstrates that "junior" ETF exposure can include established operators, not just exploration-stage businesses.

WATCH NEXT

Production execution and growth-capital discipline. Lower perceived jurisdictional risk does not make cost inflation disappear.

AGI
Alamos Gold

GDXJ weight
6.15%

The operating case: The dossier's margin case study: 2025 realized gold price of $3,372/oz versus $1,524/oz AISC, implying a $1,848/oz AISC margin and $351.7m in free cash flow.

WATCH NEXT

Whether costs fall as guided and whether growth projects convert today's margin strength into per-share cash flow.

EQX
Equinox Gold

GDXJ weight
6.13%

The operating case: A growth-oriented producer. The supplied dossier highlights its proposed all-stock acquisition of Orla Mining as a potential scale-building move during a strong-gold-price cycle.

WATCH NEXT

Deal completion, integration and dilution. Growth through M&A can add quality ounces—or transfer risk to existing shareholders.

EDV
Endeavour Mining

GDXJ weight
5.42%

The operating case: A significant West African producer, giving the fund direct exposure to high-margin ounces and the potential for powerful cash generation in a favourable gold-price environment.

WATCH NEXT

Sovereign, security and permitting risk. In mining, a low cost per ounce does not neutralize a weak operating jurisdiction.

Weights: VanEck daily holdings, GDX as of 22 June 2026; GDXJ as of 23 June 2026. Ticker conventions and constituents can change. Card descriptions are an editorial guide, not investment research or advice.

The bottom line

Gold miners are not "gold with a dividend." They are a more volatile wager that the metal can stay high enough, long enough, for improved management teams to turn margins into durable cash returns. The 2026 correction has made that wager cheaper-looking on some measures—but also exposed why investors demand a discount.

For the bullish thesis to mature, three things need to happen together: bullion must stabilize, costs must remain contained, and companies must prove they will return cash or buy quality assets at sensible prices. If one fails, the equity leverage that attracts investors becomes the hazard they were being paid to bear.

Editorial note. This feature explains an investment theme; it is not personalized investment advice or a recommendation to buy or sell any security. Historical returns, technical targets and sentiment indicators in the supplied dossier are views attributed to 13D Research and should not be treated as independently verified forecasts. Prices and returns are volatile and cut-off dates are stated where used.

Sources and update notes

1. Supplied *Gold Miners* research dossier (13D Research material, reviewed 20 July 2026): sector history, index observations, company case studies and attributed technical/sentiment views.

2. Supplied Laurence Balanco sales note/chart, dated 16 July 2026: gold support, moving-average and double-bottom technical framework. Levels and targets are the chartist's analysis, not independently verified forecasts.

3. World Gold Council, Gold Mid-Year Outlook 2026 (1 July 2026): the January $5,405 record, the June correction, the $4,100 base-case reference and upside/downside catalysts.

4. ETF Central, GDX quote and performance (data cited as of 17 July 2026): –17.19% year-to-date for GDX.

5. VanEck, GDX holdings (22 June 2026): GDX constituent list and portfolio weights used in the GDX stock cards.

6. VanEck, GDXJ holdings (23 June 2026): GDXJ constituent list and portfolio weights used in the GDXJ stock cards.

7. Agnico Eagle, Q1 2026 results: record operating margins and reported free cash flow.

8. World Gold Council, Q1 2026 central-bank demand: estimated 244t of net purchases.

9. World Gold Council, Q1 2026 investment demand: bar-and-coin demand, regional buying and ETF-flow context.

10. World Gold Council, Q1 2026 supply: mine production +2% to 885t, recycling +5%, and de-hedging.

11. World Gold Council, full-year 2025 supply: total supply +1% to 5,002t.

12. World Gold Council, June 2026 update: central-bank buying resumed in April; Poland and China highlighted in May.

13. Associated Press market report (24 June 2026): gold settlement of $4,008.80/oz cited for context.

14. Axios, "Gold's M&A rush" (22 July 2026): NovaGold/Donlin transaction and current M&A context.

Prepared 24 July 2026. Market figures are reference points from the specified sources, not live executable quotes.